

BEFORE  
THE FEDERAL MARITIME COMMISSION

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DOCKET NO. 25-09

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QVC, INC. and CORNERSTONE BRANDS, INC.  
*Complainants*

VS.

OCEAN NETWORK EXPRESS PTE. LTD.  
*Respondent*

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**RESPONDENT OCEAN NETWORK EXPRESS PTE. LTD.'S  
VERIFIED ANSWER TO VERIFIED COMPLAINT  
WITH AFFIRMATIVE DEFENSES**

Respondent, Ocean Network Express Pte. Ltd. (“ONE”), answers Complainants, QVC, Inc. and Cornerstone Brands, Inc.’s (collectively “Complainants” or “QVC”), Verified Complaint (“Complaint”) as follows:

**INTRODUCTORY STATEMENT**

Respondent repeats the headings from Complainants’ Complaint solely for ease of reference, but to the extent those headings, titles, or any other organizational markers, could be construed to contain allegations against ONE, those allegations are denied.

Most of the allegations raised in the Complaint are presented in such an ambiguously compounded way as to make it impractical, if not impossible, for ONE to submit a reasonable answer. Therefore, for many of the allegations raised by Complainants, ONE can only answer with general denials or lack of knowledge and therefore deny the allegations raised in the Complaint.

## **VERIFIED ANSWER**

### **I. INTRODUCTION**

1. The allegations raised in Paragraph 1 of the Complaint set forth legal arguments or conclusions for which no response is required. To the extent that a response is required, ONE denies the allegations raised in Paragraph 1 of the Complaint.

2. ONE denies the allegations raised in Paragraph 2 of the Complaint.

3. ONE admits that it did enter into service contracts with Complainants for the period of May 1, 2021, through April 30, 2022, and that the service contracts specified minimum quantity commitment of cargo. ONE denies the remainder of the allegations raised in Paragraph 3 of the Complaint.

4. The allegations raised in Paragraph 4 of the Complaint sets forth legal arguments or conclusions for which no response is required. To the extent that a response is required, ONE denies the allegations raised in Paragraph 4 of the Complaint.

5. ONE denies the allegations raised in Paragraph 5 of the Complaint.

6. ONE denies the allegations raised in Paragraph 6 of the Complaint.

7. ONE denies the allegations raised in Paragraph 7 of the Complaint.

8. ONE denies the allegations raised in Paragraph 8 of the Complaint.

9. ONE admits only that it was part of “The Alliance” and that it is now part of the “Premier Alliance”. ONE denies the remainder of the allegations raised in Paragraph 9 of the Complaint.

10. ONE denies the allegations raised in Paragraph 10 of the Complaint.

11. The allegations raised in Paragraph 11 of the Complaint are directed to “container lines” in general and not directly to ONE and therefore no response is required. The allegations

raised in Paragraph 11 of the Complaint further set forth legal arguments or conclusions for which no response is also required. To the extent that a response is required, ONE denies the allegations contained in Paragraph 11 of the Complaint.

12. ONE denies the allegations raised in Paragraph 12 of the Complaint.

13. The allegations raised in Paragraph 13 of the Complaint set forth legal arguments or conclusions for which no response is required. To the extent that a response is required, ONE denies the allegations raised in Paragraph 13 of the Complaint.

## **II. THE COMPLAINANTS**

14. The allegations raised in Paragraph 14 of the Complaint describe the complainant, QVC, Inc., and set forth legal arguments or conclusions for which no response is required. To the extent that a response is required, ONE lacks sufficient knowledge to admit and therefore denies the allegations raised in Paragraph 14 of the Complaint.

15. The allegations raised in Paragraph 15 of the Complaint describe the complainant, Cornerstone Brands, Inc., and set forth legal arguments or conclusions for which no response is required. To the extent that a response is required, ONE lacks sufficient knowledge to admit and therefore denies the allegations raised in Paragraph 15 of the Complaint.

## **III. THE RESPONDENT**

16. ONE admits the allegations raised in Paragraph 16 of the Complaint.

17. ONE denies the allegations raised in Paragraph 17 of the Complaint.

## **IV. JURISDICTION AND LEGAL AUTHORITY**

18. The allegations raised in Paragraph 18 of the Complaint set forth legal arguments or conclusions for which no response is required. To the extent that a response is required, ONE denies the allegations raised in Paragraph 18 of the Complaint.

19. The allegations raised in Paragraph 19 of the Complaint set forth legal arguments or conclusions for which no response is required. To the extent that any response is required, ONE admits only that Ocean Network Express Pte. Ltd. is an ocean common carrier and that it entered into service contracts with Complainants. ONE denies the remainder of the allegations raised in Paragraph 19 of the Complaint.

20. The allegations raised in Paragraph 20 of the Complaint set forth legal arguments or conclusions for which no response is required. To the extent that a response is required, ONE admits only that it entered into service contracts with Complainants and denies the remainder of the allegations raised against ONE in Paragraph 20 of the Complaint.

21. The allegations raised in Paragraph 21 of the Complaint set forth legal arguments or conclusions for which no response is required. To the extent that a response is required, ONE denies the allegations raised in Paragraph 21 of the Complaint.

22. The allegations raised in Paragraph 22 of the Complaint set forth legal arguments or conclusions for which no response is required. To the extent that a response is required, ONE denies the allegations raised in Paragraph 22 of the Complaint.

23. The allegations raised in Paragraph 23 of the Complaint set forth legal arguments or conclusions for which no response is required. To the extent that a response is required, ONE denies the allegations raised in Paragraph 23 of the Complaint.

24. The allegations raised in Paragraph 24 of the Complaint set forth legal arguments or conclusions for which no response is required. To the extent that a response is required, ONE denies the allegations raised in Paragraph 24 of the Complaint.

25. The allegations raised in Paragraph 25 of the Complaint set forth legal arguments or conclusions for which no response is required. To the extent that a response is required, ONE denies the allegations raised in Paragraph 25 of the Complaint.

26. The allegations raised in Paragraph 26 of the Complaint set forth legal arguments or conclusions for which no response is required. To the extent that a response is required, ONE denies the allegations raised in Paragraph 26 of the Complaint.

27. The allegations raised in Paragraph 27 of the Complaint set forth legal arguments or conclusions for which no response is required. To the extent that a response is required, ONE denies the allegations raised in Paragraph 27 of the Complaint.

28. The allegations raised in Paragraph 28 of the Complaint set forth legal arguments or conclusions for which no response is required. To the extent that a response is required, ONE denies the allegations raised in Paragraph 28 of the Complaint

## **V. THE MATTERS COMPLAINED OF (ALLEGED FACTS)**

### **Alleged Extreme Port Congestion and Supply Chain Crunch Throughout the United States**

29. Paragraph 29 of the Complaint does not raise any allegation against ONE and no response is required. To the extent that a response is required, ONE lacks sufficient knowledge to admit and therefore denies the allegations raised in Paragraph 29 of the Complaint.

30. Paragraph 30 of the Complaint does not raise any allegation against ONE and no response is required. To the extent that a response is required, ONE lacks sufficient knowledge to admit and therefore denies the allegations raised in Paragraph 30 of the Complaint.

31. Paragraph 31 of the Complaint does not raise any allegation against ONE and no response is required. To the extent that a response is required, ONE lacks sufficient knowledge to admit and therefore denies the allegations raised in Paragraph 31 of the Complaint.

32. Paragraph 32 of the Complaint does not raise any allegation against ONE and no response is required. To the extent that a response is required, ONE lacks sufficient knowledge to admit and therefore denies the allegations raised in Paragraph 32 of the Complaint.

33. Paragraph 33 of the Complaint does not raise any allegation against ONE and no response is required. To the extent that a response is required, ONE lacks sufficient knowledge to admit and therefore denies the allegations raised in Paragraph 33 of the Complaint.

34. Paragraph 34 of the Complaint does not raise any allegation against ONE and no response is required. To the extent that a response is required, ONE lacks sufficient knowledge to admit and therefore denies the allegations raised in Paragraph 34 of the Complaint.

35. Paragraph 35 of the Complaint does not raise any allegation against ONE and no response is required. To the extent that a response is required, ONE lacks sufficient knowledge to admit and therefore denies the allegations raised in Paragraph 35 of the Complaint.

36. Paragraph 36 of the Complaint does not raise any allegation against ONE and no response is required. To the extent that a response is required, ONE lacks sufficient knowledge to admit and therefore denies the allegations raised in Paragraph 36 of the Complaint.

**Allegations that Respondent Systematically failed to Meet Its Service Commitments Under the Service Contracts in Favor of Cargo Shipped at Higher Rates.**

37. ONE admits that it did enter into Service Contracts with Complainants for the period of May 1, 2021, through April 30, 2022. ONE denies the remainder of the allegations raised in Paragraph 37 of the Complaint.

38. ONE admits that the Service Contracts specified minimum quantity commitments of cargo. ONE denies the remainder of the allegations raised in Paragraph 38 of the Complaint.

39. ONE denies the allegations raised in Paragraph 39 of the Complaint.

40. ONE denies the allegations raised in Paragraph 40 of the Complaint.

41. ONE denies the allegations raised in Paragraph 41 of the Complaint.

42. ONE denies the allegations raised in Paragraph 42 of the Complaint.

43. ONE denies the allegations raised in Paragraph 43 of the Complaint.

44. ONE admits that it did enter into Service Contracts with Complainants and said Service Contracts specified minimum quantity commitments of cargo. ONE denies the remainder of the allegations raised in Paragraph 44 of the Complaint.

45. ONE denies the allegations raised in Paragraph 45 of the Complaint.

46. ONE admits that it did enter into Service Contracts with Complainants and said Service Contracts specified minimum quantity commitments of cargo. ONE denies the remainder of the allegations raised in Paragraph 46 of the Complaint.

47. ONE denies the allegations raised in Paragraph 47 of the Complaint.
48. ONE denies the allegations raised in Paragraph 48 of the Complaint.
49. ONE denies the allegations raised in Paragraph 49 of the Complaint.
50. ONE denies the allegations raised in Paragraph 50 of the Complaint.
51. ONE denies the allegations raised in Paragraph 51 of the Complaint.
52. ONE denies the allegations raised in Paragraph 52 of the Complaint.
53. ONE denies the allegations raised in Paragraph 53 of the Complaint.
54. ONE denies the allegations raised in Paragraph 54 of the Complaint.

**Alleged Respondent's Unjust and Unreasonable Practice of Coercing Extracontractual Surcharges from Complainants.**

55. ONE denies the allegations raised in Paragraph 55 of the Complaint.
56. ONE denies the allegations raised in Paragraph 56 of the Complaint.
57. ONE denies the allegations raised in Paragraph 57 of the Complaint.
58. ONE denies the allegations raised in Paragraph 58 of the Complaint.

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59. Paragraph 59 of the Complaint does not raise any allegation against ONE and no response is required. To the extent that a response is required, ONE lacks sufficient knowledge to admit and therefore denies the allegations raised in Paragraph 59 of the Complaint.

60. Paragraph 60 of the Complaint does not raise any allegation against ONE and no response is required. To the extent that a response is required, ONE lacks sufficient knowledge to admit and therefore denies the allegations raised in Paragraph 60 of the Complaint.

### **The Allegations on Demurrage and Detention Charges**

61. ONE denies the allegations raised in Paragraph 61 of the Complaint.

62. Paragraph 62 of the Complaint does not raise allegations against ONE and sets forth the basis for the remedy sought by Complainants for which no response is required. To the extent that a response is required, ONE denies the allegations raised in Paragraph 62 of the Complaint and submits that Complainants are not entitled to the relief sought.

63. Paragraph 63 of the Complaint does not raise allegations against ONE and sets forth the basis for the remedy sought by Complainants for which no response is required. To the extent that a response is required, ONE denies the allegations raised in Paragraph 63 of the Complaint and submits that Complainants are not entitled to the relief sought.

64. Paragraph 64 of the Complaint does not raise allegations against ONE and sets forth the basis for the remedy sought by Complainants for which no response is required. To the extent that a response is required, ONE denies the allegations raised in Paragraph 64 of the Complaint and submits that Complainants are not entitled to the relief sought.

65. ONE denies the allegations raised in the second Paragraph numbered as 62 of the Complaint and as found between paragraphs 64 and 65 of the Complaint.

66. ONE denies the allegations raised in Paragraph 65 of the Complaint.

67. ONE denies the allegations raised in Paragraph 66 of the Complaint.

68. ONE denies the allegations raised in the second Paragraph numbered as 63 of the Complaint found after Paragraph 66 of the Complaint.

69. ONE denies the allegations raised in the second Paragraph 64 of the Complaint found after Paragraph 66 of the Complaint.

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70. The second Paragraph 65 of the Complaint does not raise any allegation against ONE and no response is required. Commissioner Rebecca F. Dye's Final Report from the FMC Fact Finding Investigation 29 speaks for itself. To the extent that a response is required, ONE lacks sufficient knowledge to admit and therefore denies the allegations raised in the second Paragraph 65 of the Complaint found after Paragraph 66 of the Complaint.

71. The second Paragraph 66 of the Complaint does not raise any allegation against ONE and no response is required. The language of the interpretive rules speaks for itself. To the extent that a response is required, ONE lacks sufficient knowledge to admit and therefore denies the allegations raised in the second Paragraph 66 of the Complaint found after the first Paragraph 66 of the Complaint.

72. ONE denies the allegations raised in Paragraph 67 of the Complaint.

73. ONE denies the allegations raised in Paragraph 68 of the Complaint.

74. ONE denies the allegations raised in Paragraph 69 of the Complaint.

#### **Allegations that Respondent's Practices Enriched Itself**

75. ONE denies the allegations raised in Paragraph 70 of the Complaint.

76. ONE denies the allegations raised in Paragraph 71 of the Complaint.

### **Complainants' Alleged Injuries**

77. ONE denies the allegations raised in Paragraph 72 of the Complaint.

78. ONE denies the allegations raised in Paragraph 73 of the Complaint.

79. ONE denies the allegations raised in Paragraph 74 of the Complaint.

80. ONE denies the allegations raised in Paragraph 75 of the Complaint.

81. ONE denies the allegations raised in Paragraph 76 of the Complaint.

82. ONE admits that between December 2024 and June 2025 it discussed with Complainants the potential resolution of Complainants' claims, Complainants and Respondents entered into a tolling agreement and that, therefore, to the extent any of Complainants' claims are covered by a tolling agreement, then such claims are timely. ONE denies the remainder of the allegations raised in Paragraph 77 of the Complaint.

## **VI. CAUSES OF ACTION**

### **COUNT I: VIOLATION OF 46 U.S.C. § 41102(c)**

83. Paragraph 78 of the Complaint simply repeats and realleges prior paragraphs to which ONE has already responded. To the extent that a response is required, ONE incorporates by reference each foregoing response to paragraph 1 through 77 as if fully set forth herein.

84. ONE denies the allegations raised in Paragraph 79 of the Complaint.

### **COUNT II: VIOLATION OF 46 U.S.C. § 41102(c) & 46 C.F.R. § 545.5**

85. Paragraph 80 of the Complaint simply repeats and realleges prior paragraphs to which ONE has already responded. To the extent that a response is required, ONE incorporates by reference each foregoing response to paragraph 1 through 79 as if fully set forth herein.

86. ONE denies the allegations raised in Paragraph 81 of the Complaint.

### **COUNT III: VIOLATION OF 46 U.S.C. § 41104(a)(2)**

87. Paragraph 82 of the Complaint simply repeats and realleges prior paragraphs to which ONE has already responded. To the extent that a response is required, ONE incorporates by reference each foregoing response to paragraph 1 through 81 as if fully set forth herein.

88. ONE denies the allegations raised in Paragraph 83 of the Complaint.

### **COUNT IV: VIOLATION OF 46 U.S.C. § 41104(a)(10)**

89. Paragraph 84 of the Complaint simply repeats and realleges prior paragraphs to which ONE has already responded. To the extent that a response is required, ONE incorporates by reference each foregoing response to paragraph 1 through 83 as if fully set forth herein.

90. ONE denies the allegations raised in Paragraph 85 of the Complaint.

## **VII. CAUSATION**

91. ONE denies the allegations raised in Paragraph 86 of the Complaint.

92. ONE denies the allegations raised in Paragraph 87 of the Complaint.

93. ONE denies the allegations raised in Paragraph 88 of the Complaint.

94. ONE denies the allegations raised in Paragraph 89 of the Complaint.

## **VIII. REPARATIONS**

95. The allegations raised in Paragraph 90 of the Complaint set forth legal arguments or conclusions for which no response is required. To the extent that a response is required, ONE denies the allegations raised in Paragraph 90 of the Complaint.

96. ONE denies the allegations raised in Paragraph 91 of the Complaint.

97. ONE denies the allegations raised in Paragraph 92 of the Complaint.

98. The allegations raised in Paragraph 93 of the Complaint set forth legal arguments or conclusions for which no response is required. To the extent that a response is required, ONE denies the allegations raised in Paragraph 93 of the Complaint.

99. The allegations raised in Paragraph 94 of the Complaint set forth legal arguments or conclusions for which no response is required. To the extent that a response is required, ONE denies the allegations raised in Paragraph 94 of the Complaint.

100. ONE denies the allegations raised in Paragraph 95 of the Complaint.

101. ONE denies the allegations raised in Paragraph 96 of the Complaint.

102. ONE denies the allegations raised in Paragraph 97 of the Complaint.

103. ONE denies the allegations raised in Paragraph 98 of the Complaint.

104. Any allegations not expressly admitted are denied.

## **IX. PRAYER FOR RELIEF**

105. To the extent that a response is required to Complainant's Prayer for Relief, ONE denies the allegations raised therein.

## **RESPONDENT'S AFFIRMATIVE DEFENSES**

For its affirmative defenses, Respondent states as follows:

1. The Federal Maritime Commission lacks subject matter jurisdiction.
2. Breaches of Service Contracts are outside the Federal Maritime Commission's subject matter jurisdiction.
3. The Complaint fails to properly state a claim upon which relief may be granted.
4. The Complainants' claims are barred by the exclusive remedy provision in 46 U.S.C. § 40502(f).
5. The Complainants are not entitled to reparations because it suffered no damages.
6. The Complainants' claims of a failure by Respondent to meet a contractual minimum quantity commitment, which is denied, is a contract claim and specific remedies are provided under the applicable contract that do not include or support the claims now alleged by Complainants.
7. Respondent's practices and conduct were neither unjust nor unreasonable.
8. The Complainants' claims are barred by the applicable contractual terms.
9. Any damages sustained by the Complainants, as alleged in the Complaint, were proximately, directly, and solely caused by the acts or omissions of others for whom Respondent is not responsible.
10. The Complainants' damages, if any, were caused by Complainants', or its agents' own acts or omissions beyond the control of Respondent.
11. The Complainants' assumption of the risk.
12. The Complaint fails to properly allege a violation of the Shipping Act.
13. Accord and satisfaction.

14. The Complainants' claims are barred by the doctrine of acquiescence.
15. The Complainants' claims are barred by the doctrine of unclean hands.
16. The Complainants have failed to mitigate their damages.
17. The Complainants' damages, if any, were caused by restraint of princes, acts of god, force majeure or events beyond the control of Respondent.
18. Contractual breaches, if any, were not customary, continuous, or systemic.
19. The alleged violations of the Shipping Act, if any, were not customary, continuous, or systemic.
20. The Complainants' claims are barred by the doctrines of waiver, estoppel, and laches.
21. The Complainants' claims are subject to liquidated damages terms.
22. Respondent did not unreasonably refuse to deal or negotiate with Complainant.
23. The Complaint fails to allege the essential elements of 46 U.S.C. § 41102(c), 46 U.S.C. § 41104(a)(2); 56 U.S.C. § 41104(a)(10), and/or 46 C.F.R. § 545.5.
24. The conduct which is the subject to the Complaint does not constitute a practice within the meaning of 46 U.S.C. § 41102(c).
25. If there were any damages to the Complainants as alleged in the Complaint, Respondent is not liable to the Complainants by reason of the provisions contained in the bill(s) of lading, contract of carriage, charter party, applicable tariffs, special contract, or service contract
26. Complainants lack standing to bring the Complaint or seek the reliefs requested.
27. Some or all of the charges which are subject to the Complaint were imposed by and paid to persons other than Respondent.
28. Some or all of the claims alleged in the Complaint are time barred by the applicable Statute of Limitation.

29. Respondent reserves the right to amend this Answer and/or plead any additional affirmative defenses and/or bring a third-party claim as may be warranted.

30. Respondent reserves all rights to bring a counterclaim against Complainants (or any of its related persons or companies) for any outstanding charges owed by Complainants to Respondent before the Federal Maritime Commission or any Court or Tribunal of competent jurisdiction.

31. Respondent reserves all rights to arbitrate or proceed in any forum of competent jurisdiction that may exist between the parties.

**WHEREFORE**, Respondent Ocean Network Express Pte. Ltd. respectfully requests that the Federal Maritime Commission issue an order denying Complainants requested relief, dismissing the Complaint, and awarding ONE all costs, fees, including reasonable attorneys' fees, of this action, as well as such other relief as may be deemed just and proper.

Dated: August 14, 2025  
New York, New York

MONTGOMERY McCracken  
WALKER & RHOADS LLP

/s/ Timothy Semenoro

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*Counsel for Respondent  
Ocean Network Express Pte. Ltd.*

## VERIFICATION

I, Jacob Lee, declare as follows:

1. I am General Counsel for Ocean Network Express (North America) Inc., agent for Ocean Network Express Pte. Ltd.
2. I am duly authorized to make this verification on behalf of Ocean Network Express Pte. Ltd.
3. I have read the foregoing Respondent Ocean Network Express Pte. Ltd.'s Verified Answer to Verified Complaint with Affirmative Defenses, and believe, to the best of my knowledge, information, and belief, that the facts stated therein are true and correct.

I verify under penalty of perjury that the foregoing is true and correct.

Dated: August 14, 2025

By:



Name: Jacob Lee

Title: General Counsel, Ocean Network Express (North America) Inc.

**CERTIFICATE OF SERVICE**

I HEREBY CERTIFY that on this 14<sup>th</sup> day of August 2025, the foregoing Verified Answer to Verified Complaint with Affirmative Defenses was served via electronic mail on:

HUTH REYNOLDS LLP  
41 Cannon Court  
Huntington, NY 11743  
*Counsel for Complainants*  
*QVC, Inc. and Cornerstone Brands, Inc.*

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